



28 October 2013

Chief Executive Officer
Nairobi Stock Exchange Ltd.
Nation House, 2nd Floor
P. O. Box 43633
NAIROBI



Dear Sir,

**RE: HOUSING FINANCE UN - AUDITED GROUP RESULTS
AS AT 30 SEPTEMBER 2013**

Please find enclosed a copy of our Group and Company un-audited results for the period ended 30 September 2013 for your information and retention.

Please acknowledge receipt on the attached copy of this letter.

Yours faithfully,

Sam Waweru
Finance & Administration Director

Enc.

HOUSING FINANCE

UNAUDITED QUARTERLY FINANCIAL STATEMENTS AND OTHER DISCLOSURES



I	STATEMENT OF FINANCIAL POSITION AS AT 30 SEPTEMBER 2013	Bank					Group Consolidated		
		30.09.2012	31.12.2012	31.03.2013	30.06.2013	30.09.2013	30.09.2012	31.12.2012	30.09.2013
		Unaudited	Audited	Unaudited	Unaudited	Unaudited	Unaudited	Audited	Unaudited
A.	ASSETS	(Ksh'000)	(Ksh'000)	(Ksh'000)	(Ksh'000)	(Ksh'000)	(Ksh'000)	(Ksh'000)	(Ksh'000)
1	Cash balances (both local and foreign)	117,995	139,376	106,894	136,479	138,880	117,995	139,376	138,880
2	Balances due from Central Bank of Kenya	1,706,273	1,030,256	2,546,157	1,517,468	1,046,194	1,706,273	1,030,256	1,046,194
3	Kenya Government and other securities held for dealing purposes	-	-	-	-	-	-	-	-
4	Financial Assets at fair value through profit and loss	-	-	-	-	-	-	-	-
5	Investment Securities:	-	-	-	-	-	-	-	-
	a) Held to Maturity:	401,331	401,644	413,125	-	-	401,331	401,644	-
	a. Kenya Government securities	401,331	401,644	413,125	-	-	401,331	401,644	-
	b. Other securities	-	-	-	-	-	-	-	-
	b) Available for sale:	63,500	381,972	405,534	408,911	380,893	63,500	381,972	380,893
	a. Kenya Government securities	-	321,972	318,534	328,911	299,893	-	321,972	299,893
	b. Other securities	63,500	60,000	87,000	80,000	81,000	63,500	60,000	81,000
6	Deposits and balances due from local banking institutions	5,330,041	6,662,401	5,446,180	6,913,835	8,862,771	5,330,040	6,662,414	8,862,771
7	Deposits and balances due from banking institutions abroad	43,189	18,271	12,503	9,131	80,634	43,189	18,271	80,634
8	Tax recoverable	127,579	46,773	-	65,092	70,432	150,122	69,156	89,114
9	Loans and advances to customers (net)	28,821,683	30,293,711	31,690,282	32,478,823	33,477,045	28,821,683	30,293,711	33,477,045
10	Balances due from banking institutions in the group	-	-	-	-	-	-	-	-
11	Investments in associates	-	-	-	-	-	-	-	-
12	Investments in subsidiary companies	255,020	255,120	255,120	255,120	255,120	-	-	-
13	Investment in Joint ventures	-	86,700	86,700	86,700	86,700	-	86,700	86,700
14	Investment properties	-	-	-	-	-	-	442,055	792,986
15	Property and equipment	702,861	710,769	725,758	771,255	935,677	708,806	716,708	941,913
16	Prepaid operating lease rentals	40,903	40,787	40,672	40,556	40,441	47,490	47,329	46,861
17	Intangible assets	5,294	9,923	232,449	358,582	376,966	5,296	9,923	376,966
18	Deferred tax asset	81,877	220,193	220,193	220,193	270,909	81,949	272,637	323,353
19	Retirement benefit asset	-	-	-	-	-	-	-	-
20	Other assets	290,782	388,032	340,402	340,914	386,934	516,547	384,425	394,935
21	TOTAL ASSETS	37,988,328	40,685,928	42,521,969	43,603,059	46,409,596	37,994,221	40,956,577	47,039,245
B.	LIABILITIES								
22	Balances due to Central Bank of Kenya	-	-	-	-	-	-	-	-
23	Customer deposits	24,022,650	22,968,209	24,622,101	25,909,941	25,976,407	24,004,584	22,937,649	25,928,426
24	Deposits and balances due to local banking institutions	-	-	-	-	-	-	-	-
25	Deposits and balances due to foreign banking institutions	-	-	-	-	-	-	-	-
26	Other money market deposits	-	-	-	-	-	-	-	-
27	Borrowed funds	8,793,948	11,915,467	11,977,905	11,682,254	14,462,824	8,793,948	12,097,359	14,810,100
28	Balances due to banking institutions in the group	-	-	-	-	-	-	-	-
29	Tax payable	-	-	34,250	-	-	-	-	-
30	Dividends payable	28,232	24,112	23,858	200,902	29,805	28,232	24,112	29,805
31	Deferred tax liability	-	-	-	-	-	-	-	-
32	Retirement benefit liability	-	-	-	-	-	-	-	-
33	Other liabilities	285,743	632,322	501,983	576,137	460,591	370,520	760,212	786,945
34	TOTAL LIABILITIES	33,130,573	35,540,110	37,160,097	38,369,234	40,929,627	33,197,284	35,819,332	41,555,276
C.	SHAREHOLDERS' FUNDS								
35	Paid up /Assigned capital	1,152,125	1,153,000	1,153,000	1,153,000	1,155,175	1,152,125	1,153,000	1,155,175
36	Share premium/(discount)	1,551,298	1,552,173	1,552,173	1,552,173	1,554,348	1,551,298	1,552,173	1,554,348
37	Revaluation reserves	512,332	512,332	512,332	512,332	512,332	512,332	512,332	512,332
38	Retained earnings/Accumulated losses	1,403,763	1,510,801	1,745,911	1,480,641	2,075,597	1,342,945	1,502,228	2,079,597
39	Statutory loan loss reserves	225,487	241,845	195,789	501,432	167,417	225,487	241,845	167,417
40	Other Reserves	(38,000)	(36,503)	(9,503)	(16,503)	(35,650)	(38,000)	(36,503)	(35,650)
41	Proposed dividends	-	161,420	161,420	-	-	-	161,420	-
42	Capital grants	50,750	50,750	50,750	50,750	50,750	50,750	50,750	50,750
43	TOTAL SHAREHOLDERS' FUNDS	4,857,755	5,145,818	5,361,872	5,233,825	5,479,969	4,796,937	5,137,245	5,483,969
44	TOTAL LIABILITIES AND SHAREHOLDERS' FUNDS	37,988,328	40,685,928	42,521,969	43,603,059	46,409,596	37,994,221	40,956,577	47,039,245



HOUSING FINANCE

UNAUDITED QUARTERLY FINANCIAL STATEMENTS AND OTHER DISCLOSURES

		Bank					Group Consolidated		
		30.09.2012	31.12.2012	31.03.2013	30.06.2013	30.09.2013	30.09.2012	31.12.2012	30.09.2013
		Unaudited (Ksh'000)	Audited (Ksh'000)	Unaudited (Ksh'000)	Unaudited (Ksh'000)	Unaudited (Ksh'000)	Unaudited (Ksh'000)	Audited (Ksh'000)	Unaudited (Ksh'000)
	STATEMENT OF COMPREHENSIVE INCOME FOR THE PERIOD ENDED 30 SEPTEMBER 2013								
1	INTEREST INCOME								
1.1	Loans and advances	3,091,215	4,288,484	1,218,130	2,483,027	3,660,558	3,091,215	4,288,484	3,660,558
1.2	Government securities	38,724	63,185	24,257	34,698	43,917	38,724	63,185	43,917
1.3	Deposits and placements with banking institutions	588,560	717,146	115,814	261,767	397,477	588,560	717,146	397,477
1.4	Other Interest Income	-	-	-	-	-	-	-	-
1.5	Total interest income	3,718,499	5,068,815	1,358,201	2,779,492	4,101,952	3,718,499	5,068,815	4,101,952
2	INTEREST EXPENSES								
2.1	Customer deposits	1,801,890	2,296,931	400,572	814,983	1,206,784	1,801,813	2,296,853	1,206,416
2.2	Deposits and placement from banking institutions	-	-	-	-	-	-	-	-
2.3	Other interest expenses	556,784	821,927	292,513	582,380	925,506	556,784	821,927	925,506
2.4	Total interest expenses	2,358,674	3,118,858	693,085	1,397,363	2,132,290	2,358,597	3,118,780	2,131,922
3	NET INTEREST INCOME/(LOSS)	1,359,825	1,949,957	665,116	1,382,129	1,969,662	1,359,902	1,950,035	1,970,030
4	OTHER OPERATING INCOME								
4.1	Fees and commissions on loans and advances	90,103	138,865	20,151	51,309	92,697	90,103	138,865	92,697
4.2	Other fees and commissions	45,614	63,052	14,224	25,690	67,411	45,614	72,019	68,077
4.3	Foreign exchange trading income/(Loss)	-	-	-	-	-	-	-	-
4.4	Dividend Income	1,425	1,425	-	-	-	1,425	1,425	-
4.5	Other income	57,767	69,597	31,156	50,368	42,327	66,504	71,578	72,536
4.6	Total Non-interest income	194,909	272,939	65,531	127,367	202,435	203,646	283,887	233,310
5	TOTAL OPERATING INCOME	1,554,734	2,222,896	730,647	1,509,496	2,172,097	1,563,548	2,233,922	2,203,340
6	OPERATING EXPENSES								
6.1	Loan loss provision	144,546	197,766	58,632	136,382	215,460	144,546	197,766	215,460
6.2	Staff costs	511,203	681,635	207,988	442,666	633,642	512,642	684,429	638,903
6.3	Directors' emoluments	15,962	14,387	6,629	13,000	13,500	15,962	14,387	13,500
6.4	Rental charges	13,663	19,067	5,665	10,758	16,216	13,930	20,037	18,714
6.5	Depreciation charge on property and equipment	45,265	60,684	15,789	31,502	48,735	45,457	60,941	48,974
6.6	Amortisation charges	422	2,779	2,109	5,549	7,627	427	2,787	7,627
6.7	Other operating expenses	265,629	344,577	163,758	294,428	361,369	266,943	345,944	365,461
6.8	Total Other Operating Expenses	996,690	1,320,895	460,570	934,285	1,296,549	999,907	1,326,291	1,308,639
7	Profit/(loss) before tax and exceptional items	558,044	902,001	270,077	575,211	875,548	563,641	907,631	894,701
8	Exceptional items	-	-	-	-	-	-	-	-
9	Profit/(loss) after exceptional items	558,044	902,001	270,077	575,211	875,548	563,641	907,631	894,701
10	Current tax	(167,413)	(353,264)	(81,023)	(172,563)	(262,664)	(167,413)	(354,985)	(269,244)
11	Deferred tax	-	138,316	-	-	50,716	-	190,688	50,716
12	Profit/(loss) after tax and exceptional items	390,631	687,053	189,054	402,648	663,600	396,228	743,334	676,173
13	Other Comprehensive Income								
13.1	Gains/(Losses) from translating the financial statements of foreign operations	-	-	-	-	-	-	-	-
13.2	Fair value changes in available for sale financial assets	7,500	(2,503)	27,000	20,000	843	7,500	(2,503)	843
13.3	Revaluation surplus on Property, plant and equipment	-	-	-	-	-	-	-	-
13.4	Share of other comprehensive income of associates	-	-	-	-	-	-	-	-
13.5	Income tax relating to components of other comprehensive income	-	-	-	-	-	-	-	-
14	Other Comprehensive Income for the year net of tax	7,500	(2,503)	27,000	20,000	843	7,500	(2,503)	843
15	Total comprehensive income for the year	398,131	684,550	216,054	422,648	664,443	403,728	740,831	677,016
	Earnings per share	2.26	2.98	3.28	3.49	3.83	2.29	3.22	3.90
	Dividend per share	0.70	1.40	-	0.75	0.75	0.70	1.40	0.75

HOUSING FINANCE

UNAUDITED QUARTERLY FINANCIAL STATEMENTS AND OTHER DISCLOSURES



III	DISCLOSURES AS AT 30 SEPTEMBER 2013	Bank					Group Consolidated		
		30.09.2012	31.12.2012	31.03.2013	30.06.2013	30.09.2013	30.09.2012	31.12.2012	30.09.2013
		Unaudited (Ksh'000)	Audited (Ksh'000)	Unaudited (Ksh'000)	Unaudited (Ksh'000)	Unaudited (Ksh'000)	Unaudited (Ksh'000)	Audited (Ksh'000)	Unaudited (Ksh'000)
1	Non-Performing Loans and Advances								
	a) Gross non-performing loans and advances	1,974,797	2,331,482	2,682,769	2,942,398	3,021,594	1,974,797	2,331,482	3,021,594
	b) Less: Interest in Suspense	217,179	233,788	199,823	182,049	187,972	217,179	233,788	187,972
	c) Total non-Performing loans and advances (a-b)	1,757,618	2,097,694	2,482,946	2,760,349	2,833,622	1,757,618	2,097,694	2,833,622
	d) Less: Loan loss provisions	335,176	382,598	335,489	400,559	401,869	335,176	382,598	401,869
	e) Net non-performing loans and advances(c-d)	1,422,442	1,715,096	2,147,457	2,359,790	2,431,753	1,422,442	1,715,096	2,431,753
	f) Discounted value of securities	1,422,442	1,715,096	2,147,457	2,359,790	2,431,753	1,422,442	1,715,096	2,431,753
	g) Net Exposure(e-f)		-	-	-	-	-	-	-
2	Insider loans and advances								
	a) Directors, shareholders and associates		-	-	-	-	-	-	-
	b) Employees	761,395	798,657	813,187	887,940	847,247	761,395	798,657	847,247
	c) Total insider Loans and Advances	761,395	798,657	813,187	887,940	847,247	761,395	798,657	847,247
3	Off-Balance Sheet items								
	a) Letters of credit, guarantees and acceptances	5,719	13,819	17,179	17,179	34,760	5,719	13,819	34,760
	b) Other contingent liabilities		-	-	-	-	-	-	-
	c) Total contingent liabilities	5,719	13,819	17,179	17,179	34,760	5,719	13,819	34,760
4	Capital Strength								
	a) Core capital	3,873,871	4,179,471	3,953,161	3,581,094	4,268,581			
	b) Minimum Statutory Capital	700,000	1,000,000	1,000,000	1,000,000	1,000,000			
	c) Excess/Deficiency	3,173,871	3,179,471	2,953,161	2,581,094	3,268,581			
	d) Supplementary capital	2,198,359	2,268,942	2,129,857	2,136,819	1,915,429			
	e) Total capital (a+d)	6,072,229	6,448,413	6,083,018	5,717,913	6,184,010			
	f) Total risk weighted assets	20,594,067	21,847,824	26,983,635	27,253,592	27,984,714			
	g) Core capital /Total deposit liabilities	16.13%	18.20%	16.06%	13.82%	16.43%			
	h) Minimum Statutory Ratio	8.00%	8.00%	8.00%	8.00%	8.00%			
	i) Excess/Deficiency	8.13%	10.20%	8.06%	5.82%	8.43%			
	j) Core capital /Total risk weighted assets	18.81%	19.13%	14.65%	13.14%	15.25%			
	k) Minimum Statutory Ratio	8.00%	8.00%	8.00%	8.00%	8.00%			
	l) Excess/Deficiency (j-k)	10.81%	11.13%	6.65%	5.14%	7.25%			
	m) Total capital /Total risk weighted assets	29.49%	29.52%	22.54%	20.98%	22.10%			
	n) Minimum Statutory Ratio	12.00%	12.00%	12.00%	12.00%	12.00%			
	o) Excess/Deficiency (m-n)	17.49%	17.52%	10.54%	8.98%	10.10%			
5	Liquidity								
	a) Liquidity Ratio	30.30%	36.80%	34.95%	33.60%	39.12%			
	b) Minimum Statutory Ratio	20.00%	20.00%	20.00%	20.00%	20.00%			
	c) Excess(Deficiency) (a-b)	10.30%	16.80%	14.95%	13.60%	19.12%			

These financial statements are extracts from the books of the institution. The complete set of quarterly financial statements, statutory and qualitative disclosures can be accessed on the institutions website www.housing.co.ke. They may also be accessed at the institutions head office located at Rehani House, Kenyatta Avenue/Koinange Street, Nairobi

Signed.....
CHIEF EXECUTIVE OFFICER

Signed.....
CHAIRMAN